

have been received.

The fledgling VoIP market in India is finally picking up. Not just PSUs, even private players are queuing up. Airtel has set its sights on entering the sector in the third quarter of this financial year, while global player AT&T has already taken an Internet Service Provider (ISP) licence here. Sources say Skype CEO Niklas Zennström met officials of the Telecom Regulatory Authority of India (TRAI) for a discussion on a recent visit to India.

Although VoIP was allowed in 2002, the market never quite took off due to regulations and levies which made it unviable for service providers. A low PC and even lower broadband penetration didn't help either. It was only when the entry barriers were relaxed that the international long distance (ILD) market opened up. Now with more players, the

market would be more competitive.

Over the years, ILD tariffs have declined by over 90 per cent—from Rs 85 per minute in 1999 to Rs 5 per minute today, thanks to the competition among ILD players. With VoIP gaining traction, they could come down further. According to TRAI, 78.38 million minutes of VoIP calls were made from India in the quarter ended June 2006. This increased to 112.26 million minutes for the corresponding period this year. This is just from the Indian ISPs registered with TRAI and excludes calls via foreign players like Skype, Yahoo, Google and MSN as well as the grey market which is estimated to be three times that of the Indian ISPs. They are not subject to the Indian licence regime, hence go unmonitored.

However, while Internet telephony is allowed, few people are aware of it.

director general-broadband, A.N.J. Aradhya, adds, "In a couple of years, telcos globally will move to the Next Generation Network, based on IP."

Meanwhile, TRAI has sought a level-playing field for all service providers. Acting on that, director-general, Central Excise Intelligence, has directed ISPAI to furnish details of the foreign ISPs. Says Rajesh Chharia, president, ISPAI, "Global players must follow the law of the land and not deprive the exchequer of its rightful revenue." In what could be a dampener though, ISPs will not be allowed to provide VoIP services to landlines and mobiles within the country.

Google India and Yahoo! India declined to comment as they "are not offering Internet telephony services in India". The calls are made through their global counterparts such as

ADAPTOR TO PC/PHONE

Call abroad from your landline using a broadband connection linked to an analog phone adaptor. No computer required.

Not Allowed

Allowed

MTNL, BSNL (Yet to be launched)

Call charges to the US, the UK, Canada and Australia Re 1 per minute while to Japan and Malaysia Rs 2 per minute

Broadband connection, landline phone, analog telephone adaptor to connect to ADSL modem

No PC, superior voice quality

High installation and registration charges

Graphic by KAM

"Industry and government must provide greater clarity on different VoIP services."

AMITABH SINGHAL, FOUNDER & FORMER PRESIDENT, ISPAI

"Competition in broadband services is the driving force behind VoIP market."

KEITH NISSEN, ANALYST, IN-STAT

"Most don't know what is legal and what is not," says Amitabh Singhal, founder and former president, Internet Service Providers Association of India (ISPAI). Due to lack of clarity, most Indian ISPs do not advertise their products. Now with technological advances, voice clarity could push the VoIP market to nearly \$268 million (Rs 1,072 crore) in 2011. The Department of Telecom (DOT) has issued VoIP licences to over 120 ISPs, including Net4, Bharti, BSNL and Tata Teleservices. Soon, all ISPs will be allowed to provide it. Growth will also be catalysed by IT and BPO operations, feels Jasjit Sawhney, managing director, Net4, whose clients include Hughes, Punj Lloyd, UNDP, NIIT etc.

Sinha confesses that they looked at VoIP only when they realised that revenues from the ILD business had slipped from 20 per cent in 1999 to 1-2 per cent now. "People hadn't stopped calling. They had just switched to options like Internet telephony, city-specific calling cards and so on," he says. BSNL's deputy

Yahoo.co.uk or Google.com and paid for in their currencies. Upon registration, they will be subject to a 6 per cent adjusted gross receipts tax payable to DOT and a 12.36 per cent service tax to the Ministry of Finance.

So, does VoIP mean the end of traditional telephony? "No, until there are more revenue-generating applications for IP," says Neha Gupta, telecom analyst at consultancy Gartner. "Moreover, till it is not open to domestic calls, it will be a secondary option." Aradhya admits that unless mobile VoIP kicks off, the service will be used by only a few. With alternatives like Reliance's calling cards, which allow people to make calls to the US and Canada at Rs 1.75 per minute, there are enough choices.

Globally, traditional telephony is losing out to VoIP, and broadband access is the core revenue-earning service for telcos today. While it's still early days in India, one thing is for sure: it's getting better and better for the cost-conscious consumer. ■